

EXPORTS



Problem

Global financial crisis has shrunk overseas demand and profit margins

Demand

Increase interest subsidy from 2 to 3 per cent and duty drawback rate by 5 per cent

HOUSING/INFRASTRUCTURE

Problem

Tight liquidity and high interest rates slowing down the sector

Demand

Facility to issue tax-free bonds and 10-year tax holiday for all infrastructure projects



TAX REFORMS



Problem

Corporate tax burden leaves little funds for expansion and modernisation

Demand

Reduce corporate tax burden from the current 33.99 per cent and abolish MAT

MANUFACTURING

Problem

High-cost structure impedes sector from competing globally

Demand

Unroll GST, cut cascading tariff and implement Krishnamurthy panel report



Illustrations: PRASHANT CHAUDHARY / www.indiatodayimages.com

per cent, the headline inflation rate has crossed the RBI's projected rate of 6.5 per cent for March-end," says Mitra. Going by Associated Chambers of Commerce and Industry of India (ASSOCIAM) data, it may touch 9-10 per cent by March-end.

For India Inc, the spectre of too much money chasing too few goods brings back memories of the months preceding the meltdown when liquidity was sucked out of the system to clamp down on prices, killing demand and sending industrial growth in a negative spiral. After all, there are two ways to manage inflation—supply-side management and demand-side management. Now that the RBI has done the latter by raising cash reserve ratio to suck out Rs 36,000 crore from the banking system, industry captains want action on tackling supply-side constraints. This would involve

from late 2008, have helped the economy beat the slowdown and post 7 per cent growth in the first half of 2009-10. Indeed, as Dharmakirti Joshi, principal economist of CRISIL, says, "The stimulus in India has been more effective than elsewhere." It has helped exports to grow by 18 per cent after months of decline, manufacturing by 10.3 per cent against (-)0.6 per cent a year ago. Sure, the figures are impressive, says Ashok Kajaria, president, FICCI Chamber of Commerce and Industry (FICCI), but industry still needs an uninterrupted supply of easy credit to keep its costs down and drive growth. "On the one hand, there are indications that the difficult economic conditions may finally be over. Yet, there is another set of data pointing to sluggish exports and rising inflation which may set back our nascent revival," says Kajaria.

"WE NEED AN INVESTMENT-ORIENTED BUDGET THAT CUTS CORPORATE TAX RATES FOR COMPANIES TO PUSH CAPEX."

HARSHPATI SINGHANIA, President, FICCI



increasing agricultural output, an important demand in recent wish-lists. "There is a need for a long-term farm policy which will push diversification of current crop patterns, discourage the use of chemicals and pesticides and encourage environment-friendly materials," says ASSOCIAM President Swati Piramal. That, suggests P. Chengal Reddy, secretary-general of the Consortium of Indian Farmers Association, should be supplemented with exemptions in excise and other taxes on agricultural and water conservation equipment to open up private investment potential.

The rising inflation, with all its implications, has also prompted industry and even Commerce Minister Anand Sharma to ask for a continuation of the stimulus packages, which the Government wants to withdraw. Softer interest rates and slashed excise and service taxes,

To clock an economic growth of 8-9 per cent, the three core sectors have to perform at that level. Agriculture, which grew at a mere 1.6 per cent rate in 2008-09, has slipped to 0.9 per cent, services have to grow by 11 per cent and manufacturing by 13 per cent. According to Chandrajit Banerjee, director-general, CII, non-food credit growth has been low so far. "The Government should continue with the stimulus," he says.

This, however, conflicts with the Government's agenda to bring down the fiscal deficit and has put the finance minister in a bind. Mukherjee needs to bring the economy back on the 9 per cent growth path, for which fiscal support will be needed for the hard-hit sectors. And, he has to deal with the deficit of 6.8 per cent, primarily caused by slow tax collection, and spending on flagship programmes like Bharat Nirman and NREGA, and Pay Commission arrears.